

often as reversals (suggesting price was trending upward into the pattern).

Reversal/continuation performance. Reversals for both breakout directions show better performance than continuations.

Average rise or decline. The average rise or decline isn't exceptional. As I mentioned, this pattern is a mid-list performer, so don't expect a standing ovation.

Table 9.2 General Statistics

Description	Up Breakout	Down Breakout
Number found	551	455
Reversal (R), continuation (C) occurrence	25% R, 75% C	76% R, 24% C
Reversal/continuation performance	47% R, 41% C	−15% R, −14% C
Average rise or decline	43%	−14%
Standard & Poor's 500 change	12%	−2%
Days to ultimate high or low	243	51
How many change trend?	55%	25%

Standard & Poor's 500 change. The performance of the chart pattern beats the tar out of the index. I can't think of any pattern that failed to beat the general market results. That suggests the measure favors the chart pattern.

The chart pattern is performing at its best, from the breakout to the ultimate high or low. But the index, using the same dates, may fall well short of what it's capable of. However, the numbers also show how the general market assists individual stocks to perform. The market rises during upward breakouts and falls during downward ones.

Days to ultimate high or low. How long will your trade last? It lasts as long as you do not close out your position. However, I measured the average hold time from the breakout to the ultimate high or low.

Pop quiz: If it takes 243 days for price to rise 43% after an upward breakout, how long should it take price to drop 14% after a downward breakout, assuming the same velocity? Answer: 79 days. However, the table